

the profits all outgoings for wages of assistants, expenditure for stock, &c., but will not be allowed any salary for his own management of the business (*m*).]

[*492] * 3. **Case of actual fraud.** — Where the contract is vitiated by the presence of *actual fraud*, allowance will still be made to the trustee for necessary repairs (*a*), and in one case allowance was also made for improvements (*b*); but in another case of actual fraud the Court refused any allowance for improvements. “If,” said Lord Fitzgibbon, “a man has acquired an estate by rank and abominable fraud, and shall afterwards expend his money in improving the estate, is he therefore to retain it in his hands against the lawful proprietor? If such a rule should prevail, it would justify a proposition I once heard at the bar, that the common equity of the country was *to improve the right owner out of the possession of his estate*” (*c*).

4. **Trustee paying purchase-money into Court.** — A trustee, the sale having taken place during the pendency of a suit, had paid part of his purchase-money into Court, which had been *invested in the funds*. On the purchase being set aside, the trustee claimed the benefit of the rise of the stock, but it was held that he was entitled only to his purchase-money with interest, for had there occurred a fall of the stock, he could not have been compelled to submit to the loss (*d*).

5. **Trustee to be discharged from the sale immediately.** — If the trustee is to be discharged from the situation of purchaser, he is to be discharged at once, and the Court will order an immediate re-conveyance upon immediate repayment of the money (*e*).

6. **Lessees not prejudiced.** — The re-conveyance of the estate will be without prejudice to the titles and interests of *lessees* and others who have contracted with the trustee *bonâ fide* before the pendency of the suit (*f*).

[(*m*) *Re Norrington*, 13 Ch. D. 654.]

(*a*) *Baugh v. Price*, 1 G. Wils. 320.

(*b*) *Oliver v. Court*, 8 Price, 172.

(*c*) *Kenney v. Browne*, 3 Ridg. 518; and see *Stratton v. Murphy*, 1 Ir. Rep. Eq. 361.

(*d*) *Ex parte James*, 8 Ves. 337, see 351.

(*e*) See *Ex parte Bennett*, 10 Ves. 400, 401.

(*f*) *York Buildings' Company v. Mackenzie*, 8 B. P. C. 42; see the decree.